BOARD OF CBA

MINUTES

(27.09.2016)

Refinancing Rate of September 27, 2016

The CBA Board Meeting of September 27, 2016 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vaghtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Arkadi Khachatryan.

The Board meeting opened with presentation of Situation Report as of September 27, 2016. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

Deflation in August of 2016 amounted to 0.5% which was equally attributable to a decline in prices of food and non-food products, by 0.3 and 0.2 percentage points, respectively. In groups such as “Vegetable and potato”, “Fruit” and “Dairy products” prices posted decreases by 8.5%, 5.2% and 1.0%, respectively (combined contribution to deflation: 0.63 pp). Price deflation was also observed with regard to non-food products, such as “Garment and textile”, “Medicine”, “Detergents” and “Footwear”, by 3.8%, 0.5%, 1.4% and 1.5%, respectively (combined contribution to deflation: 0.18 pp). As a result of such inflation developments in September, the 12-month inflation rate has declined and at the end of August it amounted to -1.9%.

The Economic Activity Indicator in January-August of 2016 has been 2.4%, which is in fact a significant slowdown compared to the first half’s rather high activity. Economic activity during the last eight months of the year was mainly due to registered growth in sectors of industry (7.0%), agriculture (8.0%) and services (4.1%), which was offset by a 7.5% decline in the construction sector, however. The domestic private demand remains weak as private consumption and private investment are still on a slow growth track, although the impact of fiscal policy implemented by the Government in the third quarter on aggregate demand is an estimated 1.1 expansionary. At the same time, the foreign trade deficit continues to decline in the light of an estimated 18.9% y/y increase in dollar value of export of goods and an estimated 2.1% y/y decrease in dollar value of import of goods.

The Board of CBA also referred to the developments in the financial market: the market continued reacting to the easing of monetary conditions by the CBA. Thus, between August 17 and September 20 of 2016, interest rates trended downward in the financial market. In the period mentioned above, relative to the period between June 29 and August 16 of 2016, average Repo Rate of the CBA has dropped by 0.3 pp to 7.3%; average Interbank Repo Rate has fallen by nearly 0.4% to 7.1%; and average interest rate of short and medium-term government bonds in the primary market has reduced by 0.4% and 0.5% to 7.7% and 11.0%, respectively.

In the domestic foreign exchange market in the period between August 17 and September 20 of 2016, relative to the period between June 29 and August 16 of 2016, the following developments were observed: average exchange rate of USD/AMD appreciated by 0.4% to 474.5 drams; EUR/AMD depreciated by 0.8% to 533.0 drams, while the average exchange rate of RUB/AMD appreciated by 0.6% to 7.3 drams.

In January-August of 2016 the world economy continued recovering at a slow pace while some price stability was achieved in international markets of basic commodities. Thus, in August, the Food and Agriculture Organization's food price index of September 8, 2016 rose by 1.9% against the previous month's index (the index had increased by roughly 7.0% in relation to the same period of the previous year). According to the U.S. Department of Agriculture data, in the third quarter of 2016 the export price of Hard Red Wheat is expected to reduce by 18.0% y/y (with 27.0% decrease y/y) and the export price of Rough Sugar, as quoted at New York Board-Intercontinental Exchange, is predicted to rise by 17.5% (with 72.5% increase y/y).

According to the CBA estimates, in the third quarter of 2016 the average price of “Brent” crude oil, as quoted at Intercontinental Exchange, will fall by 0.4% against the previous quarter (with 8.5% reduction y/y). At London Metal Exchange, the copper price is expected to increase by 0.6% q/q (with 9.5% decrease y/y).

In the third quarter of 2016 euro depreciated versus the U.S. dollar by 1.2%. Relative to the same reference period of the previous year, euro’s appreciation versus the dollar has been 0.5%.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macroeconomic environments as well as the monetary policy directions.

A slow pace of global economic growth and relative stability in international commodity markets persisted. However, minor inflationary trends were observable in respect of some commodities. The CBA Board estimates that inflationary effects from the external sector are not likely in the upcoming months.

The CBA Board notes that the figures published in the third quarter of 2016 point to worsened growth outlook after high economic activity recorded in the first half of 2016. As a result, the CBA revised its expectations of developments in domestic demand. In this situation, the CBA estimates that external demand, which is still relatively strong, is no longer fully offsetting weak domestic demand, and this brings about risks to inflation indicator moving downward from the projected value.

In the light of the inflation environment still persisting at low in the short run, significantly reduced inflationary expectations and increasing deflationary risks because of weak demand, the CBA Board finds it reasonable to keep on easing the monetary conditions. This will help the deflation environment to largely phase out

by the end of the year and the 12-month inflation rate to return to its target in the forecast horizon.

The CBA Board admits that although the deflationary risks are prevalent in the short run, there are no significant risks to fulfilling the inflation target in the medium-term perspective.

At the September 27, 2016 meeting, the Board of the CBA reduced the Refinancing Rate by 0. 5 pp to 6.75%, and the Lombard Repo Facility Rate and Deposit Facility Rate were set at 8.25% and 5.25%, respectively.

The CBA Press Service